

PRICING STRATEGIES AND SALES TOOLS

DAY 2



FUNDAMENTALS OF COSTING AND PRICING

LESSON THREE

PRICING LEVELS EXPLAINED

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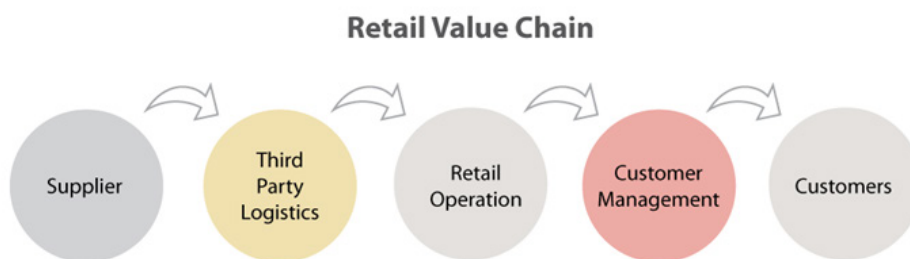
We have spoken about pricing methodologies and the various information you need to consider when determining your selling price. However, it is very seldom that you will sell to one type of customer only, so you will need to set different **levels of pricing** to service the different customer types you may engage with.

Can you think of a few of the different types of customers you may encounter, and how their needs may differ from each other?

Remember, a key secret to being successful in sales is to make it as easy as possible for your client to do business with you – and this starts with having a clear pricing strategy. As your business grows into new markets this can become quite complicated, and so a clear understanding of some basics is essential if you are to be a confident and successful salesperson.

If you sell via different channels, you need to ensure you have the necessary pricing in place to service all of them. These channels could include one or more of the following:

- Distributor pricing
- Wholesale pricing
- Retail pricing
- Corporate/Custom pricing
- Agent pricing



We are going to look at these various levels, explain how they differ and see how and where they fit in to your sales strategy:

1. **Distributor Pricing** would be the lowest you are prepared to go, and reserved for your very largest customers, those who order in volume and sell on to other shops and retailers in their markets. In order to qualify for this very low pricing, distributors should:
 - Be obliged to order in bulk (e.g. 200 of an item, minimum order value of R50,000)
 - Sell on to other retailers, and be able to provide proof of their retail network
 - Have set performance targets per quarter/year to maintain that pricing
 - Have a contractual agreement with you highlighting all roles & responsibilities on both sides

2. **Wholesale Pricing** is the price charged by a manufacturer/distributor when selling products to a retailer, or by a service-based business when selling bulk services to a middleman – such as bed nights at a guesthouse to a travel agency, construction services to an architect or training for delegates to a conference organiser.

As with Distributor pricing, Wholesale pricing can have some conditions attached from your side as the supplier, e.g:

- Only customers buying for the purpose of resale can get wholesale prices
- Wholesale customers are obliged to stick to set sales terms & conditions and minimum quantities per product to qualify for wholesale pricing
- You may ask a potential customer to provide proof of their credentials (e.g. where is the shop, other suppliers they deal with, references etc)

3. **Retail Pricing** is when you sell directly to the end user. It should be pitched high (on a par with what other shops sell your products for). This is important because if the retail outlets you supply at a Wholesale price (and who have to buy in quantity to get that price) find out you are selling to the general public at the same price, they will no longer support you.

Retail pricing is what you would charge when engaging in any form of direct selling, whether at a market, trade show, via a website/e-commerce or shop/workspace. It would also apply when selling a service directly to **the end user, such as a game drive to a tourist who books directly** or a training course directly to a delegate.

4. **Corporate/Custom Pricing** would involve prices quoted when the intention of the buyer is to use the items for promotional purposes i.e. not to mark up and resell, or when you are designing or creating a special, customized product or service for a certain client, such as a branded item with their company logo on it or a bespoke team-building session that matches the company culture & focus.

This Corporate price will usually be pitched somewhere between your wholesale and retail price, both to cover the development costs associated with customized work, and also because in most instances the buyer does not need to make a profit from these products or services and has a different agenda. In a service context, this pricing would apply when you customize a service especially for a client i.e. it is outside of your standard offerings.

Note that if you are creating a once-off, bespoke offering, whether product or service, you may actually need to charge even more than you would for retail to cover your development time – depends on context.

5. **Agent Pricing** would be pricing you would give to a prospective agent, someone who will represent you in a certain market or geographical area and sell on a commission basis. As a benchmark, your wholesale price plus 15% commission would be an appropriate Agent price – the agent would then quote this price to the customer, who would pay you directly and you would then pay over the 15% commission to the agent at an agreed date.

If you follow the guidelines above, do your research and talk to your customers, you will be empowered and feel confident that the price you quote, is the correct one.

LET'S LOOK AT AN EXAMPLE:

Let's pretend we have a product that costs us R100 to make including all input costs (labour, raw materials and overhead contribution). In this case, acceptable pricing levels would be as follows:

PRICING LEVEL	CALCULATION	REQUIREMENTS
Distributor price	$R100 + 40\% = R140$	Must order a minimum of 250 units
Wholesale price	$R100 + 50\% = R150$	Must order a minimum of 25 units
Corporate/Custom price	$R100 + 100\% = R200$	A minimum value of order is a good idea e.g. R1500
Retail price	$R100 + 150\% = R250$	No minimum order required
Agent price	$R150 + 15\% = R172.50$	Remember, you add the Agent's commission to your wholesale price, not your costs!

NOTE: These percentage mark-ups are just **approximate** and intended for the purpose of demonstrating how the different pricing levels relate to one another.

You need to determine for yourself the appropriate mark-ups for your product, given the results of your research, your own experience in terms of what the market will pay and what your competitors charge for similar products.

Task: Work out the different pricing levels for a product that costs R350 to make including all costs:

PRICING LEVEL	CALCULATION
Distributor Price (40% mark-up)	
Wholesale Price (50% markup)	
Corporate/Custom Price (100%)	
Agent Price (Wholesale + 15%)	